

- BB&K model. *See* Bailard, Biehl, and Kaiser (BB&K) five-way model
- Behavioral Alpha, 291
 Process 296–297
 BIT Identification 297–299
- Behavioral Asset Allocation Adjustment Factor Model (BAAAF), 261, 265, 268
- behavioral biases, 43–44
 categorization 46–47
 identifying, 45
- behavioral bias, basic diagnostic questions 275–276
- Behavioral Finance Micro (BFMI), vs. Behavioral Finance Macro (BFMA), 11–12, 23
- behavioral finance, 10
 defined, 3–4
 effect of, on successful advisory relationship, 19–21
 key figures in the field, 4–7
 practical application of, 290
 psychographic models used in, 36–39, 292
 quantitative guidelines for incorporating into asset allocation, 50–51
 role of, with private clients, 19–20
 seminal work in, 31–33
- behavioral investor type, 39–40, 296–301
 advice for
 anchoring bias 306
 endowment bias 306
 Followers 307–310
 loss aversion bias 305
 mental accounting bias 306–7
 preservers 307
 status quo bias 305–6
 background into development 290–293
 diagnostic process 301
 identification process, 297–301
- Behaviorally Modified Portfolio Decision 285
- Behavioural Finance: Insights into Irrational Minds and Markets* (Montier), 121
- Benartzi, Shlomo, 195, 198, 214, 222
- Bentham, Jeremy, 25, 26, 40
- best practical allocation, 266–267
 guidelines for determining 267–269
 investment policy and 271
 quantitative guidelines for incorporating in asset allocation 269–271
 bias diagnoses, applying, when structuring asset allocations, 43–45
- biases, adapting to vs. moderating, 49, 269, 280, 287, 299
- biases of judgment, 35, 275
- Biehl, David 36–40, 292–295
- Bogle 95–96
- Breinholt, Andrea, 100–101
- Broadbent, Donald, 31–32
- Brunel, Jean, 133
- calendar anomaly, 13–14
- Case, Karl E, 6
- categorization, 95–96, 97
- certainty effect, 34
- certainty overconfidence, 201–203
- Charupat, Narat, 123–128
- Church, Bryan K., 123–128
- Clarke, Roger, 200
- cognitions, 83
- cognitive bias types
 anchoring and adjustment bias, 135–41
 availability bias, 154–164
 cognitive dissonance bias, 53–62
 confirmation bias, 73–84
 conservatism bias, 63–71
 framing bias, 142–153
 hindsight bias, 107–115
 illusion of control bias, 99–106
 mental accounting bias, 119–133
 overconfidence bias, 199–208
 recency bias, 179–188
 regret aversion bias, 243–251
 representativeness bias, 85–97
 self-attribution bias, 165–171
- cognitive dissonance, 53–62
- coping responses, 60–62
- cognitive dissonance bias
 advice for advisors, 59–61
 behaviors of, relating to investment mistakes, 57
 behavioral investor type and 309
 description of, 53–55
 diagnostic testing, 58–59
 practical application, 55–56
 research review, 57–58
- cognitive psychology, 31, 240